Canada Revenue Agency | Agence du revenu du Canada

Investment Tax Credit (Individuals)

General information

Use this form if:

- you earned an investment tax credit (ITC) during the current tax year;
- you are claiming a carryforward of ITC from a previous year;
- you have a recapture of ITC on a scientific research and experimental development (SR&ED) expenditure;
- you have a recapture of ITC on a child care space expenditure;
- you are requesting an ITC carryback;
- you are claiming a refund for an ITC earned during the current tax year.

You have to file this form no later than 12 months after the filing due date of your income tax return for the tax year in which you acquired the property or made the expenditure.

All legislative references are to the federal *Income Tax Act* (Act) and federal *Income Tax Regulations* (Regulations).

Investments or expenditures, described in subsection 127(9) of the Act that are eligible for an ITC are:

- qualified expenditures that are part of the SR&ED qualified expenditure pool (Complete Form T661, *Scientific Research and Experimental Development (SR&ED) Expenditures Claim*);
- qualified property;
- qualified resource property;
- certified property;
- flow-through mining expenditures (also referred to as renounced Canadian exploration expenses);
- apprenticeship job creation expenditures;
- child care spaces expenditures.

Definitions and detailed information

Atlantic Investment Tax Credit

Atlantic Canada and Atlantic region

For the purposes of the Atlantic Investment Tax Credit, these expressions include the Gaspé Peninsula and the provinces of Newfoundland and Labrador, Prince Edward Island, Nova Scotia, and New Brunswick, as well as their respective offshore regions (prescribed in Regulations 4609).

Gaspé Peninsula

For the purposes of the Atlantic Investment Tax Credit, this expression means that portion of the Gaspé region of the Province of Quebec that extends to the western border of Kamouraska County and includes the Magdalen Islands (prescribed in subsection 127(9) of the Act).

Qualified property (Code 12)

For the purposes of the Atlantic Investment Tax Credit, this term means a category of new assets acquired primarily for use in the **Atlantic region** that are mainly used for farming or fishing, logging, manufacturing and processing, storing grain, and harvesting peat. Qualified property includes new buildings, new machinery and new equipment (prescribed in Regulations 4600). Qualified property can also be used primarily to produce or process electrical energy or steam in a prescribed area (as described in Regulations 4610).

Property used mainly in Atlantic Canada for oil and gas, and mining activities is considered qualified property only if acquired by the taxpayer **before** March 29, 2012. Qualified property may also include new energy generation and conservation property (prescribed in Regulations 4600) if it was acquired by the taxpayer **after** March 28, 2012.

For more information, see the definition of qualified property in subsection 127(9) of the Act.

Specified percentages for qualified property

- If you acquired the property under a written agreement entered into **before** February 22, 1994, the specified percentage is 15%.
- If you acquired the property **after** 1994 for use in the **Atlantic region**, the specified percentage is 10%.

Qualified resource property (Code 12)

For the purposes of the Atlantic Investment Tax Credit, this term means a category of new property acquired mainly for use in the **Atlantic region** and primarily used for oil and gas, and mining activities, if acquired by the taxpayer **after** March 28, 2012, and **before** January 1, 2016. Qualified resource property includes new buildings as well as new machinery and equipment (prescribed in Regulations 4600). For more information, see the definition of **qualified resource property** in subsection 127(9) of the Act.

Specified percentages for qualified resource property

If the qualified resource property was acquired:

- **after** March 28, 2012, and **before** 2014, the specified percentage is 10%.
- **after** 2013, and **before** 2016, the specified percentage is 5%.
- **after** 2015, the specified percentage is 0%.
- **after** 2013, **before** 2017 and is eligible for the transitional relief rate, the specified percentage is 10%.

Note

The transitional relief rate applies to qualified resource property acquired **after** 2013 **and before** 2017 under a written agreement entered into **before** March 29, 2012, **or** as part of a phase of a project where the construction or the engineering and design work for the construction started **before** March 29, 2012.

For more information on the Atlantic Investment Tax Credit, go to **www.cra.gc.ca/itc** and choose the **Atlantic investment tax credit** link from the list of **Related topics** at the bottom of the webpage.

(Vous pouvez obtenir ce formulaire en français à **www.arc.gc.ca/formulaires** ou en composant le **1-800-959-7775**.)

Canada

Definitions and detailed information (continued)

Certified property (Code 3A)

This term means a type of **qualified property** acquired mainly for use in a prescribed area. The property **must not** have been used or acquired for lease or for any purpose whatsoever before you acquired it. The property **must** be part of a facility as defined in the *Regional Development Incentives Act*.

Specified percentage for certified property

A specified percentage of 30% applies to Certified property if it meets one of the following conditions:

- you acquired it under a written agreement entered into **before** February 22, 1994;
- it was under construction by or for you on February 22, 1994;
- it is machinery or equipment that will be a fixed and integral part of the property under construction by or for you on February 22, 1994; **or**
- you acquired the property **after** 1994 and **before** 1996 for use in a project that was substantially advanced by you or for you, as evidenced in writing, **before** February 22, 1994, and construction began **before** 1995.

Scientific research and experimental development (SR&ED)

Qualified expenditures that are part of the SR&ED qualified expenditure pool (Codes 3B & 4B)

To be a qualified expenditure, the amount has to be for SR&ED carried on in Canada. SR&ED expenditures in Canada, include the "exclusive economic zone" (as defined in the *Oceans Act* to generally consist of an area that is within 200 nautical miles from the Canadian coastline), the airspace, seabed, and subsoil of that zone.

Qualified expenditures can include an amount incurred in the year in respect of SR&ED carried on by you, or on your behalf, that relate to your business and is:

- a current expenditure on SR&ED;
- a capital expenditure incurred and available for use **before** January 1, 2014;
- **80% of an expenditure** in respect of contract – SR&ED, and third-party payments for SR&ED; **or**
- an expenditure for depreciable property used by the taxpayer, that is first term and second term shared-use-equipment, primarily for SR&ED in Canada **before** February 2, 2017. Excludes prescribed depreciable property that is shared-use-equipment acquired by a taxpayer **before** 2014 to be used for one or two operating periods, primarily for SR&ED in Canada. See subsections 127(9) and 37(1) of the Act and Regulations 2900(11).

Rates for a qualified expenditure

- For qualified expenditures for SR&ED incurred under a written agreement entered into **before** February 22, 1994, **and** carried out in the **Atlantic region**, the rate is 30%. (Code 3B)
- For qualified expenditures for SR&ED incurred **after** 1994, the rate is 20%. (Code 4B)

Note

If you are claiming an ITC for a qualified expenditure on SR&ED, or you have a recaptured amount for an ITC previously claimed on an expenditure for SR&ED, file Form T661, *Scientific Research and Experimental Development (SR&ED) Expenditures Claim*, with your income tax return. **Do not file Form T661 if you are claiming a credit for contributions made to agricultural organizations, or a credit based on a credit allocated to you by a partnership on a T5013 slip, *Statement of Partnership Income*.** If you are a partner of a partnership, only include your part of the partnership's investment or qualified expenditure.

Partnership allocations

An ITC earned by a partnership is usually allocated to a partner. However, an ITC earned on qualified SR&ED expenditures may not be allocated to a specified partner of a partnership. If you received an allocation of ITC from a partnership, calculate your share of the investment cost or expenditure. Enter this cost or expenditure on the line corresponding to the appropriate rate. For more information, see subsection 127(8) of the Act.

Contributions made to agricultural organizations for SR&ED (Code 4C)

Agricultural producers can access ITCs earned on contributions made to agricultural organizations that fund SR&ED. Enter the amount in box 6715. The rate is 20%.

Information on SR&ED

For more information on SR&ED and legislative or interpretative changes, see the following:

- Guide T4088, *Scientific Research and Experimental Development (SR&ED) Expenditures Claim – Guide to Form T661*; or
- go to **www.cra.gc.ca/sred**.

Mineral exploration tax credit (Code 5)

Certain renounced Canadian exploration expenses qualify for the ITC. For Canadian exploration expenses renounced by a corporation to an individual (or a partnership of which the individual is a member) and reported in box 128 of a T101, *Statement of Resource Expenses* slip or in box 194 of a T5013, *Statement of Partnership Income* slip, the specified percentage will be 15%. You must subtract the amount of any allowable provincial tax credit. The renunciation must be under a flow-through share (FTS) agreement entered into **after** March 2013 and **before** April 1, 2014 with FTS financing for mineral exploration (which excludes coal deposits, tar sands, oil and gas).

Apprenticeship job creation tax credit (AJCTC) (Code 6)

A percentage of eligible salary and wages payable to an employee registered in a prescribed trade in Canada in the first 24 months of their eligible apprenticeship contracts registered in Canada, qualifies for a credit for the employer. The available credit for each eligible apprentice is 10% of the **lesser of** $20,000 **and** eligible salary and wages payable in the year (net of any government or non-government assistance), in respect of employment **after** May 1, 2006. The total of these amounts for all apprentices is the available non-refundable tax credit. Any unused credit may be carried back 3 years or carried forward 20 years.

ITC for Child care spaces (Code 7)

Employers that create child care spaces in a licensed child care facility for the benefit of children of the taxpayer's employees, or of a combination of children of the taxpayer's employees and other children, will qualify for a non-refundable ITC equal to 25% of eligible child care space expenditures incurred **after** March 18, 2007, to a **maximum** ITC amount of $10,000 per child care space created. The amount of the credit can be used to reduce the federal income tax payable for the year. Unused amounts can be carried back 3 years or forward 20 years.

Definitions and detailed information (continued)

How to calculate and claim your ITC

The ITC is based on a percentage of the investment cost (the cost of the property you bought or the expenditures you made). If you received, are entitled to receive, or can reasonably expect to receive any reimbursement, inducement, or government or non-government assistance (including grants, subsidies, forgivable loans, or deductions from tax and investment allowances) that can reasonably be considered to relate to the property or expenditure, you have to decrease your investment cost by the amount you received, are entitled to receive, or can reasonably expect to receive. If you repay any of this assistance, add the repayment to the investment cost. Calculate the ITC for any repayment using the same percentage you used for the original investment cost.

Determine your ITC at the end of 2013. If the fiscal year-end of your business is in 2013, include any ITC you earn on the property you buy during the calendar year. Investments and expenditures are eligible for an ITC only when the income from the related business is subject to Part I of the *Income Tax Act*.

Properties acquired (and SR&ED capital expenditures incurred to acquire property) are eligible for an ITC claim **only** when the properties are considered to be **available for use**. For an explanation of **available for use**, see any of the following guides: Guide T4002, *Business and Professional Income*, Guide T4003, *Farming Income*, Guide RC4060, *Farming Income and the AgriStability and AgriInvest Programs*, Guide RC4408, *Farming Income and the AgriStability and AgriInvest Programs Harmonized Guide*, or Guide T4004, *Fishing Income*.

You can use the ITC that you earn in 2013 to reduce your federal tax for a previous year, for the 2013 tax year or for a future year. Any unused ITC credits may be refunded.

Current-year claim:

To calculate your ITC to reduce your federal income tax for 2013 complete Part A and Part B of this form. Enter the amount of your credit on line 412 of Schedule 1 of your income tax return. If a partnership or trust made the investments, enter only your share.

Carryback to previous years:

You can carry back the ITC you earn in 2013 for up to three years and use it to reduce your federal tax in those years by completing Part E of this form. If you are a trust and were subject to a loss restriction event, special rules may apply to limit the ITC carryback.

Carryforward to future years:

You can carry forward unused ITCs earned in tax years that end **after** 1997 for up to 20 years (see Part D to calculate your claim). For information on loss restriction events, see subsection 251.2(2) of the Act.

Refund of ITC

If you do not use all of your ITC to reduce your taxes in the year or in the three previous years, we may refund up to 40% of your unused credit to you. You can only claim this refund in the year you buy property or make an expenditure that qualifies for the credit, unless the available for use rules (or other rules deeming the expenditure to have been made in a later year) apply. To claim a refund of ITC, complete Part E of this form. Enter your refund amount on line 454 of your income tax return. If a partnership or trust made the investments, enter only your share of the amount.

Adjustments

The credit you claim or that we refund to you for 2013 reduces the capital cost of the property. Any 2013 credit you carry back to a previous year will also reduce the capital cost of the property. Make this adjustment in 2014. This adjustment reduces the capital cost allowance you can claim for the property. It also affects your capital gain when you dispose of the property. You might have claimed a credit or received a refund for 2013 for a property that you already disposed of. In addition, you might still have other property in the same class. If so, reduce the undepreciated capital cost of the class for 2014 by the amount of the credit you claimed or received as a refund. If, after the disposition, you do not have any property left in the same class, include in your 2014 income the amount of the credit you claimed or received as a refund. Enter the amount as other income on line 9600 if you are filing: Form T2042, T1163, T1164, T1273, or T1274. Enter the amount on line 8230 if you are filing Form T2125.

A credit deducted or refunded for SR&ED will reduce the pool of deductible SR&ED expenditures, the adjusted cost base (ACB) of an interest in a partnership, and the ACB of a capital interest in a trust in the next tax year.

For more information on ITCs and their recapture, go to **www.cra.gc.ca**, or see Interpretation Bulletin IT411R, *Meaning of "Construction"*, Information Circular IC78-4R3, *Investment Tax Credit Rates*, and its Special Release.

Part A – Calculating the current year refundable ITC

ITC for total qualified expenditures for SR&ED **excluding** amounts from lines 6710 and 6715 (Codes 3B & 4B)	6712		× 0.20	=	1
Total contributions made to agricultural organizations for SR&ED (Code 4C)	6715		× 0.20	=	2
Total investments in certified property acquired, **and** total qualified expenditures incurred for SR&ED in **Atlantic Canada** under a written agreement entered into **before** February 22, 1994 (Codes 3A & 3B)	6710		× 0.30	=	3
ITC for total investments in qualified property **and** qualified resource property (**excluding** amounts from line 6710 and 6716) (Code 12)	6714		× 0.10	=	4
Total investments in Qualified property acquired **before** February 22, 1994 (Code 12)	6716		× 0.15	=	5
Total current-year refundable credits (add amounts 1 to 5) Enter amount A in column 2 in Part F on page 6				=	A

Part B – Calculating the current year non-refundable ITC

Mineral exploration tax credit (Code 5)

Total of your flow-through mining expenditures (also referred to as renounced Canadian exploration expenses) from box 128 of the T101 slip or box 194 of the T5013 slip	6717		× 0.15	=	B*

* This amount must be reduced by any allowable provincial tax credits.This credit will reduce your Canadian exploration expense pool in the year following the year in which you claim the credit.

Apprenticeship job creation tax credit (Code 6)

If your apprentice works for you and also works for a related employer as defined under subsection 251(2) of the Act, all related employers have to agree in writing that you are the only employer who will be claiming the apprenticeship job creation tax credit for this tax year for each apprentice whose contract number, social insurance number (SIN), or name appears below.

For each apprentice in their first 24 months of the apprenticeship, enter the apprenticeship contract number registered with Canada, or a province or territory of Canada, under an apprenticeship program designed to certify or license individuals in the trade. If there is no contract number, enter the SIN or the name of the eligible apprentice. Then, enter the name of the eligible trade and the eligible salary and wages** payable in the year in respect of employment **after** May 1, 2006. The credit is 10% of the total of the amounts in **Table 1**, column 3. Attach a note if more space is required.

Table 1 – Calculation of total Apprenticeship job creation tax credit

	1 Contract number (SIN or name of apprentice)	2 Name of eligible trade	3 Eligible salary and wages** payable in the year, or $20,000, whichever is less
1			
2			
3			
	Total apprenticeship job creation tax credit (Total of amounts in column 3) 6718		× 0.10 = C

** Net of any government or non-government assistance received or to be received in respect of eligible salary and wages.

Investment tax credit for child care spaces (Code 7)

Eligible child care spaces expenditure include the cost of depreciable property, and the amount of specified child care start-up expenditures acquired or incurred solely for the purpose of the creation of the new child care spaces at a licensed child care facility.

Total amount of current year expenditures ____ 1

Total number of child care spaces ____ × $40,000 = ____ 2

Investment tax credit for child care spaces Enter the **lesser** of amounts 1 and 2	6719		× 0.25 =	▶ +	D
Total current-year non-refundable tax credits (add amounts B, C and D)				=	E

Part C – Recapture

Recapture – ITC on SR&ED expenditures

For more information on the specified percentages (20% and 30%), see **Qualified expenditures** on page 2.

Amount of expenditure on which ITC is recaptured at 30%.
Do **not** enter more than the amount of the original expenditure . . . . . **6711** _____ × 0.30 = _____ 1

Amount of expenditure on which ITC is recaptured at 20%.
Do **not** enter more than the amount of the original expenditure . . . . . **6713** _____ × 0.20 = _____ 2

Total recapture of investment tax credit on SR&ED expenditures (add amounts 1 and 2) . . . . . = _____ 3

Recapture – ITC for child care spaces

If, at any time within 60 months of the day that you create a new child care space, that space is no longer available, or if the property acquired for a child care space is leased for any purpose or converted to another use, we will recover the ITC for that space or property.

If **only** child care spaces are disposed of, enter the amount
originally claimed for those child care spaces . . . . . _____ 4

If property **other than** child care spaces is disposed of, the amount will be the **lesser** of:

The amount originally claimed for ITC for the property disposed of . . . . . _____ 5

25% of the proceeds of disposition of the eligible property
(or 25% of fair market value if disposed of to a non-arm's length party) . . . . . _____ 6

Enter the **lesser** of amounts 5 and 6 . . . . . + _____ 7

Total recapture of investment tax credit for child care spaces (add amounts 4 and 7) . . . . . **6730** = _____

Total recaptured credits (add amount 3 and line 6730)
Add amount 8 to the amount on line 406 of Schedule 1 of your income tax return . . . . . = _____ 8

Part D

Calculating an allowable claim

Enter the total credit available from column 5 in Part F of this form . . . . . _____ F

Federal tax (amount from line 406 of Schedule 1 of your income tax return) . . . . . _____ 1

Minus the federal political contribution tax credit
(amount from line 410 of Schedule 1 of your income tax return) . . . . . – _____ 2

Subtotal (amount 1 minus amount 2) . . . . . = _____ 3

Minus the labour-sponsored funds tax credit
(amount from line 414 of Schedule 1 of your income tax return) . . . . . – _____ 4

Subtotal (amount 3 minus amount 4) . . . . . = _____ ▶ _____ G

Enter your claim on this line
You can claim an ITC amount up to, but not more than, amounts F **or** G, **whichever is less** . . . . . _____ H

If you do not have to complete Form T691, *Alternative Minimum Tax* (see your guide for information), or if the amount you calculate on line 95 of Form T691 is "0", enter amount H on line 412 of Schedule 1 of your income tax return, or on line 37 of T3 Schedule 11. If Alternative Minimum Tax (AMT) does not apply, enter amount H in column 6 in Part F of this form.

Otherwise, complete the following section to determine your ITC claim and enter "0" in column 6 in Part F of this form.

Calculating an allowable claim if alternative minimum tax (AMT) applies

If you completed form T691, *Alternative Minimum Tax*, **and** calculated an amount **greater than** "0" on line 95, you **must** complete this section.

Enter amount G . . . . . _____ 5

Plus the federal foreign tax credit
(amount from line 405 of Schedule 1 of your income tax return) . . . . . + _____ 6

Subtotal (add amounts 5 and 6) . . . . . = _____ 7

Minus the minimum amount from line 58 of Form T691 . . . . . – _____ 8

Subtotal (amount 7 minus amount 8, if negative, enter "0") . . . . . = _____ ▶ _____ I

Enter your claim on this line
You can claim an ITC amount up to, but not more than, amounts F **or** I, **whichever is less** . . . . . _____ J

Enter amount J on line 412 of Schedule 1 of your income tax return, or on line 37 of T3 Schedule 11.
Also enter amount J in column 7 in Part F of this form.

Part E – Calculating a carryback and refund of ITC

ITC available for carryback

Complete this section to determine the balance of credit available for carryback to previous tax years.

Total current-year credit available (column 5 **minus** column 1 in Part F) 1

Minus the current year credit applicable*
The maximum amounts you could have claimed in column 6, plus column 7, **minus** column 1 in Part F (if negative enter "0") . . . − 2

Total credit available for carryback (amount 1 minus amount 2) . . . . . = K

* To arrive at the amount for carryback, you first have to apply your credit to the fullest extent in the current year, whether you claimed all of it or not. Before determining the amount available to carry back, you first have to reduce your federal tax for the current year by the maximum amounts you could have claimed in columns 6 and 7 in Part F of this form, whether you claimed the maximum or not.

Calculating a carryback and refund of ITC

Complete this section to request a carryback of the ITC you earned in the current tax year. The carryback provisions allow you to apply a current-year credit against the total of your federal tax for any of the three previous tax years. The credit you apply to a previous year cannot be more than the total of your federal tax for that year.

You have to deduct any amount of the refundable ITC designated as a carryback when you calculate your ITC refund and the balance to carry forward to tax years that follow.

To request a carryback, complete this section, and attach this form to your current-year income tax return.

Note
We do not refund an amount you designate as a carryback in the current year. Do **not** enter the amount on your income tax return.

The part of amount K to apply to one or more of the following:

Third previous year . . . . . 6720 •

Second previous year . . . . . 6721 + •

First previous year . . . . . 6722 + •

Total credit designated for carryback (add lines 6720, 6721 and 6722. Must be equal to, **or** less than amount K)
Enter the total of amounts L and N in column 8 in Part F . . . . . = L

Signature

6724 Date: Year, Month, Day (yyyymmdd)

ITC available for refund

Complete this section to determine the balance of credit available for refund.

Total current-year refundable credit available (column 2 minus column 4 in Part F) 3

Current year credit claim (column 6, plus column 7, minus column 1 in Part F) 4

Plus amount L . . . . . + 5

Subtotal (add amounts 4 and 5) . . . . . = 6

Minus amount from column 3 in Part F . . . . . − 7

Total (amount 6 minus amount 7, if negative, enter "0") . . . . . = ▶ − 8

Total credit available for refund (amount 3 minus amount 8) . . . . . = M

Calculating an ITC refund

Complete this section to calculate a refund of ITC that you earned in the current year. You must deduct any amounts you claim as a refund when you calculate the balance to carry forward to tax years that follow.

Amount you designate as a refund of ITC (cannot be more than amount M) 9

Multiply by the refundable rate . . . . . × **0.40** 10

Refund of ITC (multiply amount 9 by amount 10)
Enter the total of amounts L and N in column 8 in Part F (must be equal to, **or** less than amount K) . . . . . = N

Enter amount N on line 454 of your income tax return or on line 88 of a T3RET, *T3 Trust Income Tax and Information Return*.

Part F – Carryforward chart

1 Balance of credits carried forward from previous years	2 Current-year refundable credit (amount A in Part A)	3 Current-year non-refundable credit (amount E in Part B)	4 Adjustments*	5 Total credit available (column 1 plus column 2 plus column 3 minus column 4)	6 Current-year credit claim (amount H in Part D)	7 Current-year credit claim (AMT) (amount J in Part D)	8 Credit claim – other (amounts L plus N in Part E)	9 Balance carried forward (column 5 minus columns 6, 7 and 8)

* For testamentary trusts, enter the amount of ITC allocated to beneficiaries from box 40 of T3 slip.

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